

## Module - V

( 6 Hours )

**Multi-National Corporations** : Definition and Meaning, Factors that contributed to positive growth of MNC's, Importance of MNC's, Advantages and Disadvantages of MNC's, MNC's in India, Organizational Structure of MNC's, Transfer of Technology, Global Competitiveness, Indicators of Competitiveness, Technology of global Competitiveness.

### I.

#### MEANING AND DEFINITION OF MNC's

A multinational corporation/company is an organisation doing business in more than one country. Transnational company produces, markets, invests and operates across the world. It is integrated global enterprise which links global resources with global markets at profit.

These companies have sales offices and/or global enterprise which links global resources corporation (MNC) engages in various activities like exporting, importing, manufacturing in different countries. MNCs have worldwide involvement and a global perspective in its management and decision-making.

- MNCs consider opportunities throughout the globe though they do the business in a few countries.
- MNCs invest considerable portion of their assets internationally.
- MNCs engage in international production and operate plants in a number of countries.
- MNCs take managerial decisions based on a global perspective. The international operations are integrated into the corporations' overall business.

**According to Timothy Brook**, “A multinational corporation (MNC) or worldwide enterprise is a corporate organization which owns or controls production of goods or services in at least one country other than its home country.”

**According to James Chen**, “A multinational corporation (MNC) has facilities and other assets in at least one country other than its home country.”

### II.

#### REASONS FOR/WHY DOMESTIC COMPANIES BECOME MNC's

1. **To protect themselves from the uncertainties and risks** of business cycles, political policies and social uncertainties of the domestic country. Expanding the operations to a number of foreign countries can offset the negative consequences of domestic effects.
2. **To tap the growing global market for various goods and services.** Many MNCs targeted India and China during the 21st century because of their large population and increasing per capita income. Some MNCs targeted Japanese and European markets in view of their rich and sophisticated markets.
3. **To Increase Market Share:** Firms become MNCs in order to increase their market share by expanding their operations to a number of countries.
4. **To Reduce Costs:** Companies become MNCs by locating their manufacturing facilities close to the foreign customers. This, in turn, reduces cost of transportation, warehousing, etc.
5. **To Overcome Tariffs:** Many countries charge tariffs if the companies export goods from other countries. In contrast, companies need not pay tariffs, if they locate their manufacturing facilities in foreign countries. Therefore, companies become MNCs by locating their manufacturing facilities in foreign countries.
6. **To Have Technological Advantage:** Companies become MNCs in order to take advantage of technological expertise by producing goods directly in foreign countries rather than through licensing.

### **III. OPERATING CHARACTERISTICS OF MNC's**

1. The subsidiaries of MNCs should respond to the significant environmental forces of both home country and host country. Sometimes, the same environmental forces influence the MNCs both at the home and host countries.

**For example:** General Motors of the US faces competition from Ford, Honda, Volvo, Volkswagen, Chrysler both in the USA and Europe.

2. MNCs draw more or less the same resources both at the home country and host country. These resources include financial resources, human resources, material resources, information, patents, trademarks, etc.

3. The subsidiaries and headquarters of MNCs are linked by a common vision and mission. However, each subsidiary of MNCs formulates their strategies.

4. MNCs prefer to relocate their operations in various countries based on low wage rates, low transportation costs, closeness to suppliers of raw materials and customers and threats posed by the other country governments.

### **IV. FACTORS CONTRIBUTED FOR THE GROWTH OF MNC'S**

**1. Global Market Access :** MNCs have the advantage of accessing multiple markets around the world. This allows them to diversify their customer base, spread risks, and take advantage of different economic cycles.

**2. Economies of Scale :** Operating on a global scale allows MNCs to achieve economies of scale, reducing costs per unit through large-scale production. This efficiency boosts profitability and competitiveness.

**3. Resource Availability :** MNCs can source raw materials, labor, and other resources from different countries, often at lower costs. This global resource optimization enhances their production capabilities and cost efficiency.

**4. Technological Advancements :** Leveraging advanced technologies across their operations worldwide enables MNCs to improve productivity, streamline processes, and innovate. Technology also facilitates better communication and coordination among international branches.

**5. Capital Access :** MNCs often have better access to international capital markets. They can raise funds more easily through global stock exchanges and international investors, supporting their expansion and investment activities.

**6. Brand Recognition and Reputation :** Strong global brands benefit from high levels of recognition and trust, helping MNCs attract and retain customers more easily. A reputable brand can also provide a competitive edge in new markets.

**7. Diversification :** By operating in various countries and industries, MNCs can diversify their revenue streams and reduce dependence on any single market. This diversification helps mitigate risks associated with economic downturns or political instability in individual countries.

**8. Strategic Alliances and Acquisitions :** Forming alliances and acquiring local companies allow MNCs to quickly enter new markets and leverage existing market knowledge, distribution networks, and customer bases. These strategies accelerate growth and market penetration.

**9. Skilled Workforce :** MNCs attract a diverse and highly skilled workforce from different regions, fostering innovation and improving overall business performance. Access to global talent pools enhances their competitive advantage.

**10. Regulatory Environment:** Operating in multiple jurisdictions enables MNCs to benefit from favourable regulatory environments in certain countries, such as lower taxes, investment incentives, and supportive trade policies.

**11. Adaptation and Flexibility:** MNCs develop the ability to adapt their products, services, and business models to suit local tastes, cultures, and market conditions. This flexibility allows them to remain relevant and competitive across diverse markets.

**12. Supply Chain Optimization:** A global presence allows MNCs to optimize their supply chains, sourcing materials and components from the most efficient and cost-effective locations. This enhances overall operational efficiency and cost management.

**13. Expansion of Market Territory:** The growth of the various economies along with the growth of GDP and per capita income resulted in the rise in the living standards. These factors contributed towards the expansion of market territory. Added to this, the large operations of the MNCs build the image, which contributes to the expansion of market territory.

**14. Market Superiorities:** MNCs enjoy a number of market superiorities over the domestic companies.

(a) Availability of more reliable and up-to-date data and information.

(b) They enjoy market reputation.

(c) They face less difficulties in marketing the products.

(d) They adopt more effective advertising and sales promotion techniques

(e) They enjoy quick transportation and warehousing facilities.

**15. Financial Superiorities:** MNCs enjoy financial superiorities over national companies, in addition to market superiorities.

(1) Huge financial resources at the disposal of the MNCs. These resources are used for turning the environment and circumstances in their favour

(ii) They can use the funds more effectively and economically as the excess funds from one country can be used to meet the requirements in other countries.

(iii) They have easy access to external capital markets.

(iv) They can mobilise different types of resources of high quality easily.

(v) They can have access to international banks and financial institutions.

**16. Technological Superiorities :** MNCs are allowed, if not invited by the developing countries mostly due to the technological backwardness of these countries. In fact, MNCs are rich in advanced technology. They develop the technology through continuous research and development. The rich financial and other resources of the MNCs enable them to invest on R & D and develop the advanced technology.

**17. Product Innovation:** MNCs, by virtue of their widespread operations in many countries, collect information regarding customer's tastes and preferences. Further, the MNCs with their strong R & D departments invent new products and develop the existing products. Developing countries suffer from limitations in this regard. Therefore; they invite MNCs to their countries.

## **V.**

### **IMPORTANCE OF MNC's**

**1. Economic Growth Investment:** MNCs bring substantial foreign direct investment (FDI) to host countries, boosting economic growth.

**2. Job Creation:** They create jobs both directly and indirectly, improving employment rates and economic stability.

**3. Technology Transfer Innovation:** MNCs often introduce advanced technologies and practices to host countries, enhancing productivity.

- 4. Skills Development:** They provide training and development opportunities, elevating the skill levels of the local workforce.
- 5. Market Expansion Global Reach:** MNCs open up new markets for products and services, contributing to the global availability of goods.
- 6. Economies of Scale:** They achieve cost advantages by producing on a large scale, leading to lower prices for consumers.
- 7. Infrastructure Development Facilities:** MNCs invest in infrastructure such as roads, ports, and telecommunications, benefiting the overall economy.
- 8. Ancillary Services:** Their presence encourages the development of related industries and services.
- 9. Cultural Exchange Diversity:** MNCs foster cultural exchange by operating in multiple countries, promoting understanding and diversity.
- 10. Corporate Practices:** They spread global corporate practices and standards, which can improve local business practices.
- 11. Enhanced Competition Market Efficiency:** The presence of MNCs increases competition, leading to better quality products and services.
- 12. Innovation Drive:** Competition from MNCs forces local companies to innovate and improve their offerings.
- 13. Tax Revenues Government Income:** MNCs contribute significantly to government revenues through taxes, which can be used for public services.
- 14. Economic Redistribution:** Tax revenues from MNCs can help reduce economic disparities within host countries.
- 15. Corporate Social Responsibility (CSR) Community Engagement:** Many MNCs engage in CSR activities, contributing to social and environmental causes in host countries.
- 16. Sustainable Practices:** They often implement sustainable practices, promoting environmental protection and social welfare.
- 17. Access to Resources Raw Materials:** MNCs often invest in resource-rich regions, facilitating the extraction and efficient use of natural resources.
- 18. Human Capital:** They utilize local talent and expertise, fostering knowledge exchange and growth.
- 19. Political and Economic Stability Policy Influence:** MNCs can influence local policies towards more business-friendly environments.
- 20. Stability:** Their long-term investments can contribute to political and economic stability in host countries.

## **VI.**

### **ADVANTAGES OF THE MNCS TO THE HOST COUNTRY**

- Increases economic activity.
- Increases industrial activity.
- Increases employment and income levels.
- Domestic industry gets the latest technology.
- Domestic industry gets sophisticated management techniques.
- Improves the competitive ability of domestic business due to the competition.
- Domestic business uses outcome of MNC's R & D efforts.
- Advantages of foreign culture through cultural transformation.
- Reduction of imports and favourable effect on balance of payments.
- Domestic consumers have the advantage of consuming a variety of goods and services.
- MNCs earn foreign exchange by exporting to the neighbouring countries.
- Utilisation of natural resources of the host countries.
- Domestic input suppliers get more business.

## **VII.**

### **DISADVANTAGES OF THE MNCS TO THE HOST COUNTRY**

- Technology developed by the MNCs may not suit the needs of host country.
- MNCs may not operate within national autonomy and sovereignty.
- Monopolistic practices of MNCs may kill the domestic industry.
- MNCs may adopt ethnocentric approach in staffing.
- MNCs may use the natural resources of the host country indiscriminately.
- A large sum of money may flow from the domestic country in the form of dividends and royalty.
- MNCs normally concentrate on consumer goods, but not capital goods and infrastructure in host country.
- MNCs may distort the economic structure of the host countries.
- MNCs may interfere in the political activities of the host country.
- MNCs normally provide the out-dated technology to the host country industry.
- Pollutes the environment of the host countries.

## **VIII.**

### **ADVANTAGES OF THE MNCS TO THE HOME COUNTRY**

- Create the demand for the home country products.
- Boost up the industrial activity of the home country.
- Create employment for home country people.
- Earns foreign exchange for the home country and contributes for the balance of payments.
- Get the benefit of foreign culture.
- Produce the products required by the domestic consumers in foreign countries with foreign resources.
- Saves the domestic country from environmental pollution,
- Get the customers/users for the country's out-dated technology.
- Optimum utilisation of natural resources and conservation the country's scarce resources like petroleum resources in the USA.
- Generates and accumulate capital for home country by earning profits through business operations in host countries.

## **IX.**

### **DISADVANTAGES OF THE MNCS TO THE HOME COUNTRY**

- Transfer capital to other countries and cause unfavourable balance of payments.
- May not create employment opportunities to domestic people by following geocentric approach or outsourcing business operations in various countries like the USA software companies outsourcing business operations in India.
- May neglect the industrial development of the home country as the transnational companies follow the secular approach.
- May cause erosion of the domestic culture.
- May exploit the natural resources resulting in excessive exploitation of natural resources.

## X.

### MNC's in INDIA

1. **Microsoft**                      Headquarter: Redmond, Washington, US  
Industry: Information Technology
2. **Apple Inc**                      Headquarter: Cupertino, California within Silicon Valley  
Industry: Consumer electronics, Software services
3. **IBM (International Business Machines Corporation)**      Headquarter: Armonk, New York, USA  
Industry: Information Technology
4. **Google**                      Headquarter: California, USA  
Industry: Cloud computing, Internet, Computer software and Advertising
5. **Amazon**                      Headquarters: Seattle, Washington and Arlington, Virginia (USA)  
Industry: E-commerce
6. **Tata Group**                      Headquarter: Bombay House, Mumbai, India  
Industry: Conglomerate
7. **Infosys**                      Headquarter: Bangalore, Karnataka  
Industry: Information Technology and Consulting
8. **Aditya Birla Group**                      Headquarter: Mumbai, Maharashtra  
Industry: Conglomerate
9. **Pepsi Co**                      Headquarter: Harrison, New York, U.S  
Industry: Beverages and Food processing
10. **HCL Technologies**                      Headquarter: Noida, Uttar Pradesh  
Industry: Information Technology and Consulting
11. **Sony Corporation**
12. **Hewlett Packard (HP)**
13. **Nestle**
14. **Procter & Gamble**
15. **Citibank**
16. **PepsiCo**
17. **Coca-Cola**

Most of the MNCs in India had originally entered the Indian market during the colonial era. They grew fast with state patronage. During the post-independence era, the actual number of MNCs; who entered was small. The entry was generally made through collaboration with big Indian businesses. For instance, Bajaj Tempo and Telco joined hands with Daimler Benz of West Germany; Cynamid, Ciba and Ciba-Geigy jointly established new undertakings with Lalbhai House, Birlas became the spokesmen of Kaisers and Ford. Sarabhas, Murguppa Chettiar, Naidu, Thapars, Kirloskars and other houses also joined to promote large private sector companies in collaboration with MNCs.

At the end of 1990, there were 469 foreign companies in India. In addition, there are many Indian companies with foreign equity participation. Several Indian outfits of MNCs are-the-Top-MNC-companies-in- like Ponds, Johnson and Johnson, Lipton, Brooke-Bond, Colgate-Palmolive, etc., are in low technology consumer goods sector. Hindustan Lever, while popular in low tech consumer sector, has diversified into a high technology and export oriented sectors. Ponds has diversified into thermometers and leather upper mushrooms entirely for exports (Ponds, Brooke-Bond, Lipton and HLL come under the multinational umbrella of Unilever), ITC (Indian Tobacco Company formerly Imperial Tobacco Company) has diversified into areas like hotel, paper boards and edible oils.

## **ROLE OF MNC'S IN INDIA**

- 1. Profit Maximisation :** Most of the private companies including MNCs have profit maximisation as the most important objective. However, MNCs are expected to operate fairly and behave like a corporate citizen. But, the MRTP commission had shown that Philips has undervalued (less than the cost of production) its exports in order to reduce its tax liability to Indian government.
- 2. International Network of Marketing :** India expects the MNCs to increase their exports and earn foreign exchange for India. But, most of the MNCs transfer the foreign exchange to their parent country, just in the name of imports from their home country.
- 3. Diversification Policy :** India expects the MNCs to diversify their activities into the untapped areas and the priority areas like core industry and infrastructure industry. But, majority of the MNCs diversify into the more profitable areas. **For example, ITC ventured into hotel industry,**
- 4. Concentration in Consumer Goods :** Most of the MNCs entered Indian consumer market like HLL due to the high profitability rather than capital goods market which is less profitable.
- 5. Location of Central Control Offices :** MNCs diversify their activities to various countries having their central control offices which provide them maximum global advantage. Unilever, though a company born in Holland, took up British for operations in erstwhile British colonies. **For example,** the erstwhile USSR never favoured import of consumer goods from the underdeveloped countries. But, India had been provided with a special status. Indian exports received a preferential treatment from USSR.
- 6. Techniques to Achieve Public Acceptability :** MNCs adopt a number of techniques to get the acceptability of the people of the country wherever they operate. For example, companies like Mulchandani Electronics and ITC Ltd., are more acceptable to Indians
- 7. Existence of Modern and Sophisticated Technology :** As stated earlier, maximisation of global profits is one of the major objectives of MNCs, MNCs develop modern and sophisticated technology in order to produce the products of high quality and lowest cost of production. They bring the technology to the developing world, but they do not provide the latest technology to the domestic companies of the Third World.
- 8. Business, But Not Social Justice :** MNCs are in business, but not in social service. They believe in the superiority of free market economies. MNCs allocate their investments according to market demand in order to maximise their profits.
- 9. Unconcern Towards Social Responsibilities and Business Ethics :** It is also criticised that MNC's try to maximise their profits and do not think of discharging their responsibilities towards Indian society. Further, it is criticised that MNCs exploit the Indian natural resources indiscriminately, export the products from India to other countries and transfer the proceeds of sales to their home countries.
- 10. MNCs and Process of Planned Economic Development in India :** There was confusion with regard to the role of MNCs in Indian planned development. Most of the MNCs operating in India during that period had different plans which were incompatible with the Indian Five-Year plans.
- 11. Cultural Erosion :** Indian culture with regard to dressing patterns, eating habits, building and maintaining the relations, etc., are quite distinct from the rest of the world. But, it is widely criticised that the MNCs activities with regard to type of the products (mainly cigarettes, liquor, beverages like coke, etc.), advertisements, and the like, erode the Indian culture.
- 12. Unconcern for Environmental Pollution and Ecological Balance :** It is widely criticised that MNCs in India did not invest in environmental polluting controlling equipment as they normally do in their home country. This, in turn, resulted in environmental pollution in a number of instances in the

country. For example, Bhopal gas tragedy, and also failure of Union Carbide in paying due compensation to the victims is an example .

## **XI.**

### **ORGANISATIONAL STRUCTURE OF MNCS**

#### **DESIGNING ORGANISATIONAL STRUCTURE**

Organisations are economic and social entities in which a number of persons perform multifarious tasks in order to attain common goals. Organisations are effective instruments in that they help individuals accomplish personal objectives that they (persons) cannot achieve alone. According to Argyris, organisations are usually formed to satisfy objectives, "that can best be met collectively"

Organisation is only a means to an end. It takes certain inputs from the environment and converts them into specified outputs desired by the society. Organisational design deals with structural aspects of organisations: it aims at analysing roles and relationships so that collective effort can be explicitly organised to achieve specific ends. The design process leads to development of an organisational structure consisting of units and positions. There are relationships involving exercise of authority and exchange of information between these units and positions. Thus, organisational design may lead to the definition and description of a more or less formal structure. Organisational design is "the process of systematic and logical grouping of activities, delegation of authority and responsibility and establishing working relationships that will enable both the company and employee to realise their mutual objectives".

#### **STEPS IN DESIGNING ORGANISATIONAL STRUCTURE**

The first step in organisational design is analysis of the present and future circumstances and environmental factors. The next stage deals with detailed planning and implementation. Organisational analysis is the basis for organisational design and is the process of defining aims, objectives, activities and structure of an enterprise. Organisational analysis includes an analysis of the following aspects

1. **External environment** - economic, political, legal, etc.
2. **Overall aims and purpose of the enterprise** - survival, growth, profit maximisation, wealth maximisation, etc.
3. **Objectives**- specific aims or targets to be achieved.
4. **Activities** - assessment of work being done and what needs to be done if the company is to achieve its objectives.
5. Decisions to be taken across horizontal and vertical dimensions.
6. **Relationships**- from the viewpoint of communications.
7. **Organisational structure** - includes grouping of activities, span of management, management levels, etc.
8. **Job structure** - job design, job analysis, job description, job specification, etc.
9. **Organisational climate** -working atmosphere of the enterprise. It includes teamwork and co-operation, commitment communications, creativity, conflict resolution, participation, confidence and trust.
10. **Management style**- includes laissez-faire, democratic, benevolent autocratic.
11. **Human resource** - Includes availability of human resources marked by skill, knowledge, commitment, aptitude, etc

Organisations of MNCs can be designed based on two options-vertical/tall organisations and horizontal/flat organisations

### **A. Vertical/Tall Organisations**

Vertical/tall organisations refer to increase in the length of the organisation's hierarchy chain of command. The hierarchical chain of command represents the company's authority-accountability relationship between superiors and subordinates. Authority and responsibility flow from the top to the bottom through all the levels of the hierarchy. Accountability flows from the lowest level to the highest level. Employees at each level should report to their superior, who in turn should report to his boss. Thus, the activities are reported to the top. Authority is more centralised in tall organisation.

### **B. Horizontal/Flat Organisations**

Horizontal/flat organisations refer to an increase in breadth of an organisational structure.

The increasing bio-professionalization and multi-professionalization and wide acceptance for empowerment allowed even the large business firms to reduce the number of hierarchical levels of their organisations. Consequently, large sized firms also started adopting horizontal/flat organisation by delayering. In fact, this structure is well-suited for the small size business firm.

Authority is more decentralised in relatively flat structures. Manager with broad span of control must grant more authority to his subordinates. Decisions are more likely to be made by the employees who are at the helm of affairs and more familiar with the situations and ground realities. Organisational activities are mostly performed informally.

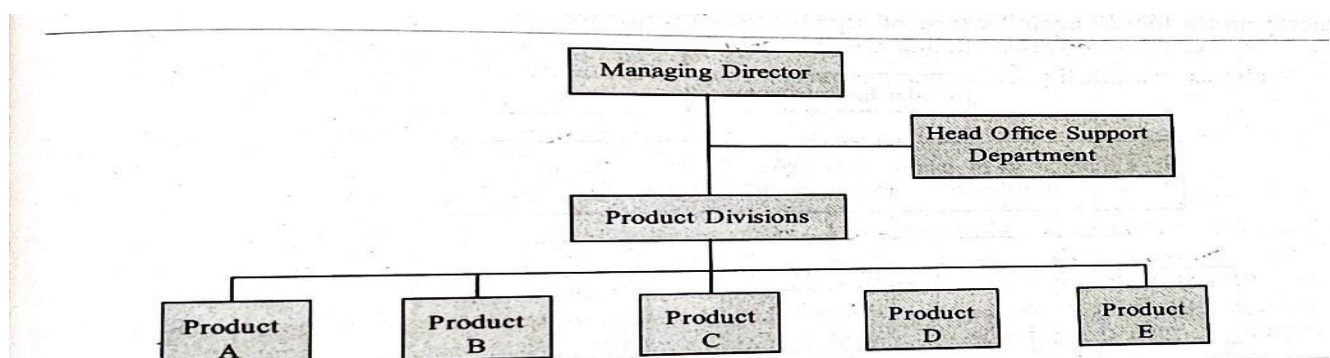
## **XII. APPROACHES TO ORGANISATIONAL STRUCTURE OF MNC'S**

There are seven approaches to structure the organisation. They are:

1. Product organisational structure.
2. Geographical organisational structure.
3. Decentralised business divisions.
4. Strategic business units.
5. Matrix organisational structure.
6. Team organisational structure.
7. Virtual organisational structure.

### **1. PRODUCT ORGANISATIONAL STRUCTURE**

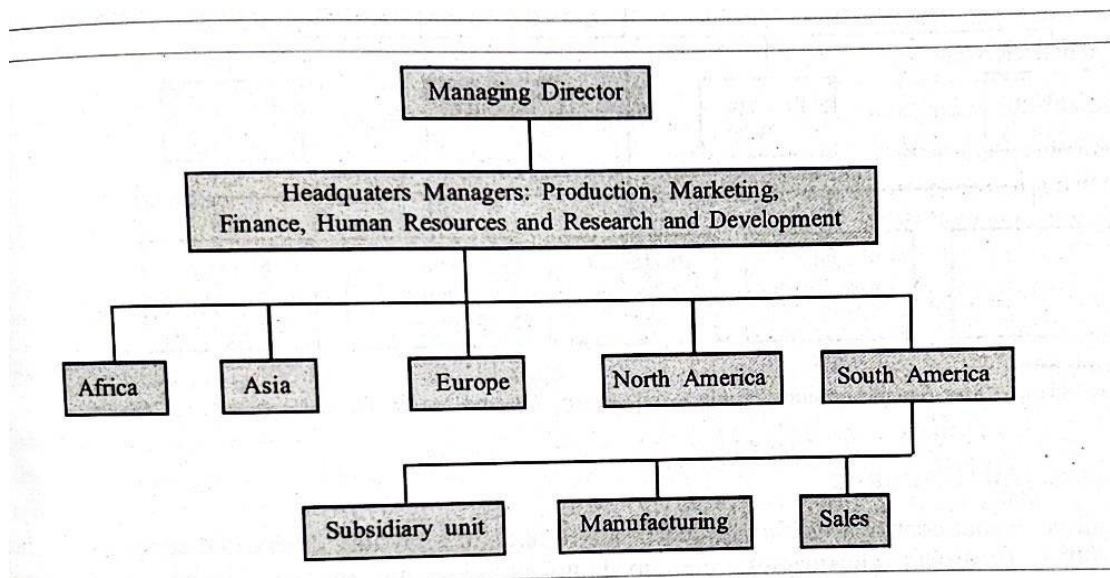
Activities are divided on the basis of individual products, product line, service and are grouped into departments product organisational structure. All important functions, viz, marketing, production, finance and human resource are contained within each department. This type of organisational structure overcomes many of the major limitations of functional organisational structure. Figure 9.1 presents the product organisational structure.



## 2.

### GEOGRAPHICAL ORGANISATIONAL STRUCTURE

The activities or functions are grouped into departments based on the activities performed in the geographical areas regions. Each geographical unit includes all functions required to produce and market the products in a particular geographical area. A geographical organisational structure. Multinational organisations, enterprises operating in diverse geographic markets or serving an expansive geographic area are organised based on the geographic structure. This structure is also used by chain stores, power companies, restaurant chains, dairy products, banking companies, insurance companies, etc



#### Advantages

- Allows tailoring of strategy to needs of each geographical market.
- Delegates profit/loss responsibility to lowest strategic level
- Improves functional coordination within the target market.
- Takes advantages of economies of local operations.
- Area units make an excellent training ground for higher level general managers.
- Clarifies profit/loss accountability.
- Results in good functional coordination.

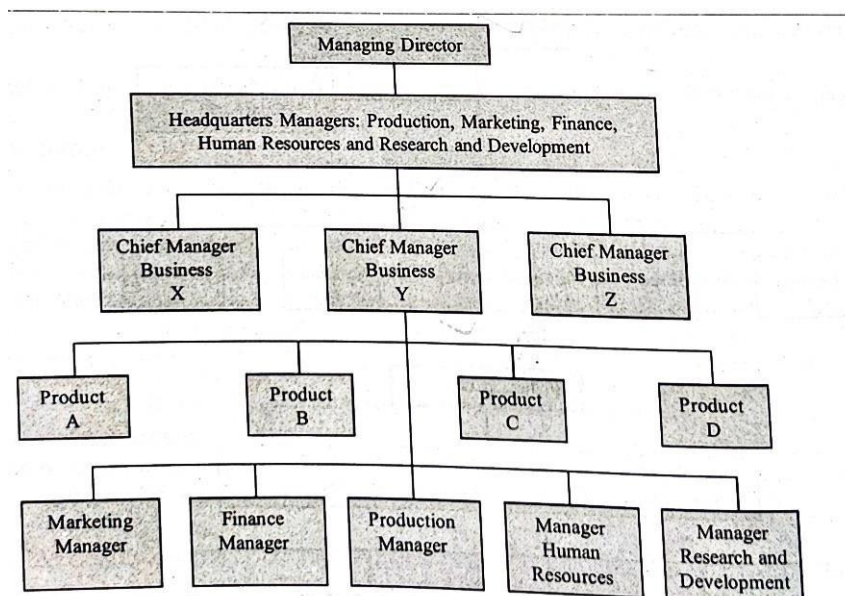
#### Disadvantages

- Poses a problem of how much geographic uniformity headquarters should impose versus how much geographic diversity should be allowed.
- Greater difficulty in maintaining consistent company image/reputation from area to area when area managers exercise much strategic freedom.
- Adds another layer of management to run the geographic units.
- Can result in duplication of staff services at headquarters and regional levels, creating a relative cost disadvantage.
- Results in inconsistent decisions from one region to another region.
- Results in duplication of equipment and personnel.
- Encourages dysfunctional competition for resources.
- Results in loss specification.
- Emphasises regional rather than company goal.

### **3.**

### **DECENTRALISED BUSINESS UNIT STRUCTURE**

Grouping activities based on product lines have been a trend among diversified companies since 1920. In a diversified firm, the basic organisational building blocks are its business units, each business is operated as a stand-alone profit centre.



### **4.**

### **STRATEGIC BUSINESS UNIT STRUCTURE**

A single chief executive cannot control a number of decentralised units of a broadly diversified company. The business can be effectively controlled, if the related businesses are grouped into strategic units and the efficient and senior executive is delegated with the authority and responsibility for its management. The senior executive will, in turn, report the matter to the chief executive. This arrangement will improve strategic planning and implementation, though it adds one layer in the organisational hierarchy. Top management coordinates the interests of the diversified business units.

A strategic business unit is a grouping of business subsidiaries based on some important strategic elements common to each. The common or related elements could be an overlapping set of competitors, a closely related strategic mission, a common need to compete globally, an ability to accomplish integrated strategic planning, common key success factors and technologically related growth opportunities.

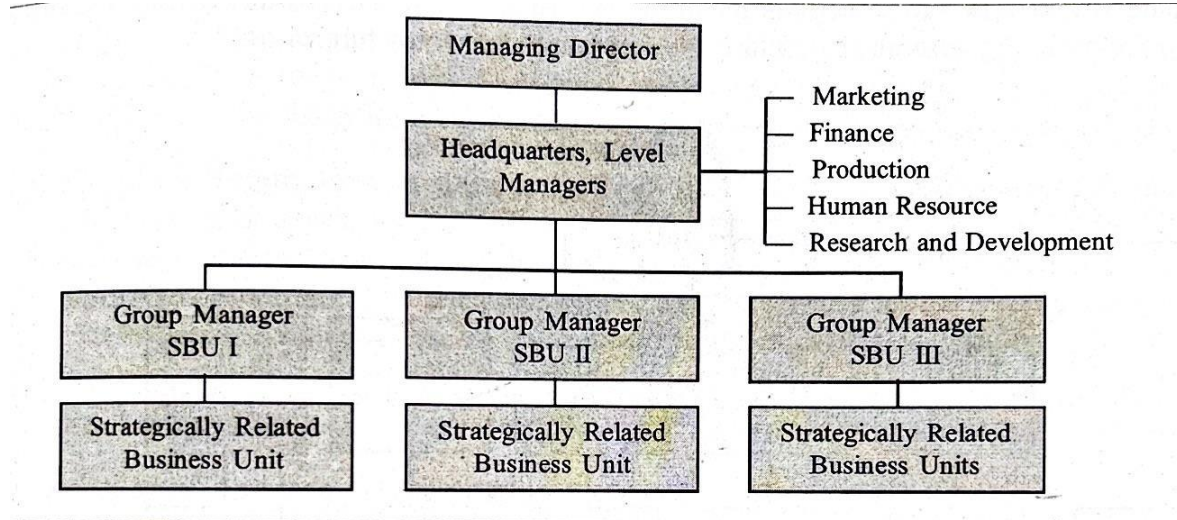
#### **Advantages**

- Provides a strategically relevant way to organise the business unit portfolio of a broadly diversified company.
- Facilitates the coordination of related activities within an SBU, thus helping to capture the benefits of strategic fit in the SBU.
- Promotes more cohesiveness among the new initiatives of separate but related businesses.
- Allows strategic planning to be done at the most relevant level within the total enterprise.
- Makes the task of strategic review by top executives more objective and more effective.
- Helps allocate corporate resources to areas with greatest growth opportunities.
- Improves coordination among business units facing similar strategic issues.

#### **Disadvantages**

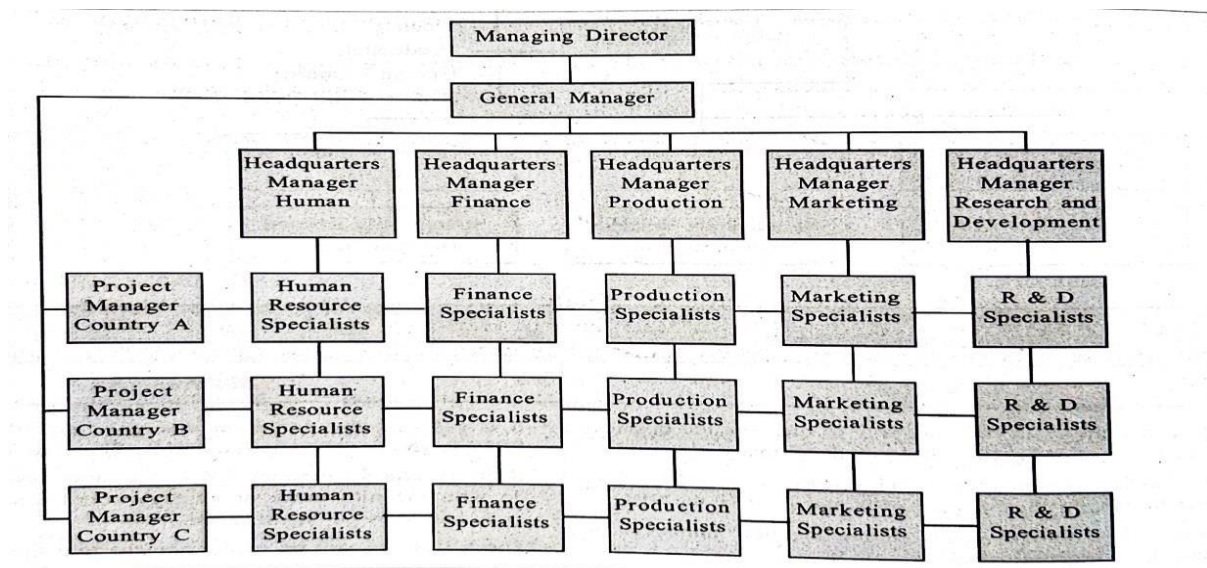
- It is easy for the definition and grouping of business into SBUs. SBU serves no other purpose than coordination of activities.
- If the criteria for defining SBUs are rationalisation and have little to do with the nitty-gritty of strategy coordination, then the grouping loses real strategic significance.

- The SBUs can still be myopic in charting their future direction.
- Adds another layer to top management.
- The roles and authority of the managing director general manager SBU level managers have to be carefully worked out.
- Unless the SBU head is strong willed, very little strategy coordination is likely to occur across business units in the SBU
- Performance recognition gets blurred; credit for successful business units tends to go to business unit head, and last to group manager.
- Increases layers of management.
- May result in SBU goals that differ from corporate goals.



**5. MATRIX ORGANISATIONAL STRUCTURE**

Organisational structures discussed earlier have possessed a single chain of command. In other words, employees those structures report, to only one manager. But, the organisational structure possesses a dual chain of command. Both functional and project managers exercise authority over organisational activities, in matrix structure. Thus, personnel in the structure have two superiors, viz., a project manager and the manager of the functional department at the headquarters level Figure 9.5 presents the matrix organisational structure.



**A matrix organisational structure is appropriate when,**

1. Management attention must be focused on two or more key issues (technical issues, consumer needs, functional efficiency).
2. Large amounts of diverse information need to be processed.
3. Problem-solving is complex (environmental uncertainty, interdependence among organisational units, complex products or technology).
4. Economies of scale require the sharing of human resource expertise to achieve high performance.

#### **Advantages**

- Give formal attention to each dimension of strategic priority.
- Creates checks and balances among competing viewpoints.
- Facilitates capture of functionally based strategic fits in diversified companies.
- Promotes making trade-off decisions on the basis of, what is best for the organisation as a whole.
- Encourages co-operation, consensus building, conflict resolution and coordination of related activities.
- Permits focus of attention on more variables and encourages generation of new ideas.
- Makes efficient use of functional expertise.
- Facilitates operation in complex and dynamic environment.
- Encourages optimisation of organisational goals
- Managers are aware of strategic issues.

#### **Disadvantages**

- Very complex to manage.
- Hard to maintain balance between the two lines of authority.
- So much shared authority can result in a transactions log jam and disproportionate amounts of time being spent on communications.
- It is hard to move quickly and decisively without getting clearance from many other people.
- Promotes an organisational bureaucracy and hampers creative entrepreneurship
- Violates unity of command.
- Managers should have interpersonal skills.
- Requires too much time for meetings and collaboration.
- Requires decision-making input from many sources.
- May result in conflict between functional and project managers.

### **6. TEAM ORGANISATIONAL STRUCTURE**

Strategies of business are not always static. They go on changing depending upon internal and external environmental factors. Hence, a single type of organisational structure is not suitable for all times and all situations. Blending the basic forms of organisation to match the structure to strategy in the units concerned is essential. Another option is to supplement special situation devices to the basic organisational structure. This option is team structure

#### **Team structure takes three forms,**

- 1. Project Team:** Project teams are created to handle special kinds of situations with a finite life expectancy. Project teams are self-sufficient work groups. These are created to supervise the completion of a special activity. The special activities include: setting up new technological process, starting up a new venture, producing a new product, initiating and completion of a joint venture and the like.
- 2. The Task Force Team:** Interdisciplinary assignments necessitate the formation of task force team. A task force team consists of top-level executives and specialists in different areas from the organisation. The advantages of special task force team include increased opportunity for creativity, open

communication, cross-functional authority, effective integration of talents, quick conflict resolution, collaborative approach for problem-solving.

**3. The Venture Team:** Venture team is a group of individuals. The purpose of forming this group is to bring a specific product or a new business into being.

**The problems of venture teams are:**

- (i) Difficulty of deciding the manager to whom the report should be made,
- (ii) Source of funding to venture, ie, the source from department or business corporation,
- (iii) Methods of keeping the venture clear of bureaucratic and vested interests, and
- (iv) Problem of coordinating large number of different ventures.

Some MNCs have their regional headquarters like North American headquarters, European headquarters, and Asian headquarters. Global headquarters coordinate and control the activities in various countries through regional headquarters.

## **7. VIRTUAL ORGANISATIONAL STRUCTURE**

Cobblers in Kanpur, Kharagpur and in many cities of India manufacture shoes for Bata as per the specifications prescribed by the latter. Transport Corporation of India transports the shoes from manufacturing to all retail outlets appointed by Bata. CommAds advertises for Bata. Thus, different organisations perform different tasks for Bata. Bata enjoys either the profits or bears the losses driven out of the total business operations. Thus, Bata does business without performing all or other majority of the business operations. This type of arrangement through outsourcing is called virtual organisational structure.

Virtual organisational structure does not physically exist, but its effect is felt. Globalisation and information technology have enabled large-scale outsourcing and as such the virtual organisational structure has become popular.

### **Advantages:**

- These structures enable for doing business with less capital, less human resources and less inputs,
- These structure, provide for flexibility of operations,
- These structures react to environmental demands most effectively, and
- These structures develop the ancillary industries.

### **Disadvantages:**

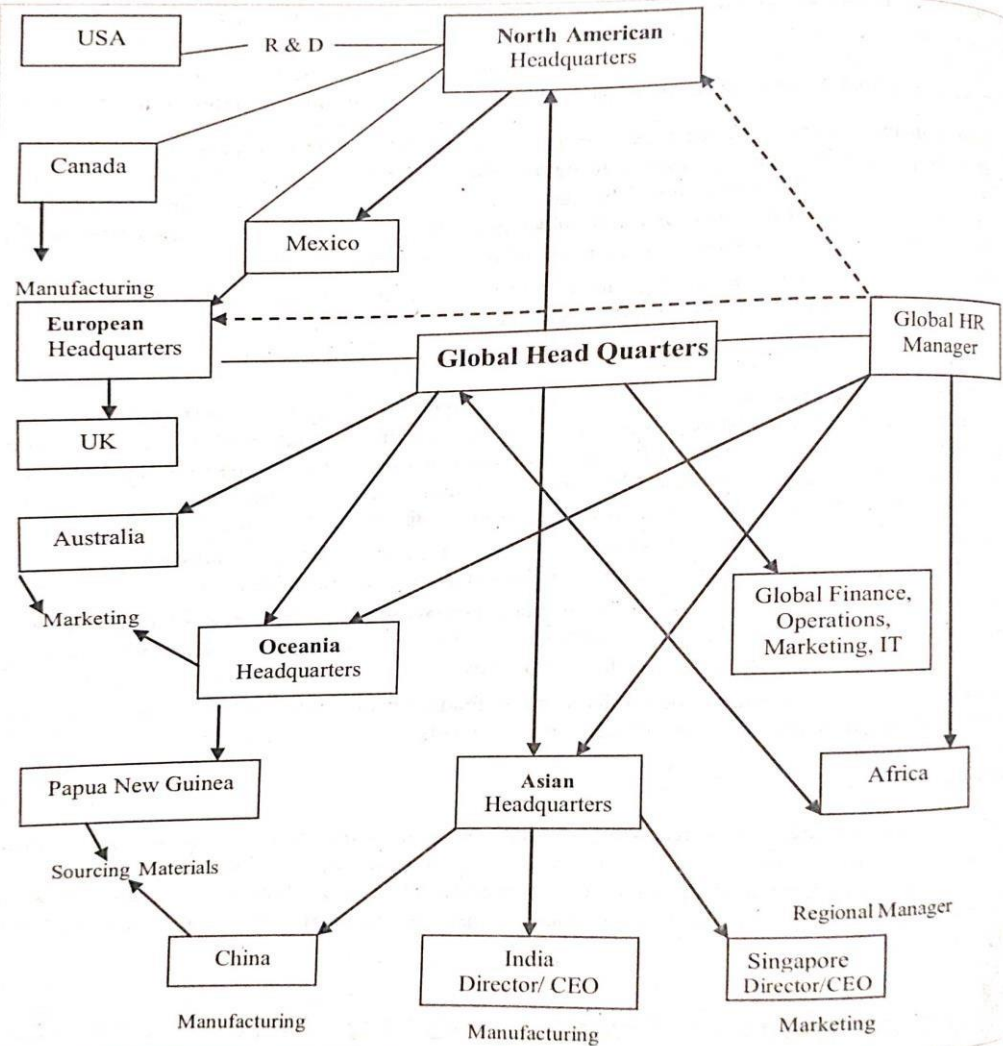
- Companies do not have strong foundations or strengths in their operations,
- Organisations have to depend heavily on outsourcing, and
- Failure in the network results in the failure of the entire organisation.

## **8. GLOBAL STRUCTURE**

Globalisation and information technology brought paradigm shifts even in organisational structures of MNCs. MNCs today produce in some countries, source raw materials from some other countries, source human resources and finance from some other countries, conduct research and development in some other countries and market in different countries. Thus, MNCs perform different operations of their business processes in a number of countries.

**FIGURE 9.6:**

**Global Integrated Structure**



### **XIII.**

### **TRANSFER OF TECHNOLOGY/TECHNOLOGY TRANSFERS**

#### **1.**

#### **INTRODUCTION**

Transfer of technology is the process through which technologies, knowledge, skills, manufacturing techniques, facilities between government and other institutions are shared in order to ensure that a large number of users having potential to develop and utilise existing technology to create new and better processes, products, materials services, applications, etc., can easily access new technological and scientific developments.

Transfer of technology is the process of disseminating commercial technology It can be done through technology transfer transaction which is performed with and without any contract of legal binding. Under such a transaction, the transferor can commercially transfer the technology to the recipient through communication. The draft Transfer of Technology (TOT) code by UNCTAD has listed the following types of transfer transactions that may be used:

- The sale, assignment and license are properties of the industry, apart from service marks and trademarks when they are not included in technology transfer,

- Technical proficiency and knowledge is required to exist such as viability studies, planning, models, diagrams, guidelines, directions, formulae, fundamental and advanced engineering designs, the conditions and apparatus for training, services, etc., which includes technical counselling and administrative and training of the staff members,
- The availability of technical knowledge required for installing, operating and functioning of machineries and new projects,
- Availability of technological knowledge required for obtaining, setting up and operating machinery and apparatus.
- Resources which were acquired by buying, hiring or through any other means;
- Availability of technological satisfaction with the firm's technical cooperative arrangements.

Apart from the items mentioned in the above list, there are many non-commercial technology transfers which are generally applicable in international agreements for co-operation between developed and developing nations. Such agreements address key industries such as agricultural or infrastructure development, or international co-operation in the grass-root fields of education, employment, fundamental research or public transport.

## 2. REASONS FOR TRANSFER OF TECHNOLOGY

Transfer of technology has proved to be an excellent tool for business and international co-operation.

- 1) Profit from Selling Technology:** Earning profits is the most significant reason for transfer of technology. A lot of companies take conscious decisions to sell their technology for profit. For example, the iconic German photographic company Kodak sold its technology to Japanese companies like Sakura (now Konica) and Fuji for profit, as Kodak was not allowed to enter Japan during World War II.
- 2) Locational and Logistics Advantage:** With businesses becoming global, companies see a clear benefit in moving their locations where input costs like labour & raw materials are cheap and logistics are easily manageable.
- 3) Competitive Advantage:** Transfer of technology is essential for competitive advantage as technically superior products give businesses a clear edge over the prevailing competition.
- 4) Government Policies:** Various countries (depending upon their requirements) offer grants and subsidies, and even tax-holidays to incentivise and promote growth of advanced technology in their country.
- 5) Market Saturation:** Organisations sometimes encounter saturation of market in their home countries which limits the scope of their growth. For expansion, they are required to move beyond their own countries and therefore the technology transfers.
- 6) Competitive Enhancement:** Through technology transfers, the potential of foreign subsidiaries can be improved.

## 3. METHODS OF TECHNOLOGY TRANSFER

- 1) Foreign Direct Investment:** With the help of FDI, various defeated companies transfer technologies to target countries through their own subsidiaries thereby investing in themselves. For example, Hyundai developed its own subsidiary in India and transfer its technology here.
- 2) Licensing:** Many firms transfer their technology by allowing people to adopt their technology by providing them license to use. For example, for using particular software, users have to buy license from its service providers by paying certain fees or royalty.

**3) Franchising:** Just like licensing, franchising also allow franchisee to use technology in the name of the company. The only difference between franchisee and licensing is that franchising companies have direct control over the operations of the franchisee, while in the licensing system, the role of companies is confined merely to transfer the technology.

**4) Management Contracts or/and Turnkey Arrangement:** It is a direct transfer of technology in which firms may transfer their technology by defining certain rules and guidelines to be followed, or can give training to the staff regarding its operations and allow the target company to control it.

**5) Contract Manufacturing:** The contract manufacturing involves transfer of technology to the host company and using manufactured products for their own.

For example, this type of technology transfer is usually observed in BPO. It is also seen that several internal Pharmaceutical firms turn towards India by transferring their technology for formulating drugs at lower costs.

**6) Joint Venture:** It involves transferring the technology to the target country by establishing partnership with the host company. This type of arrangement has benefits for both the firms. For example, some very successful joint ventures can be seen through the organisations such as Hero Honda, Maruti Suzuki, Kawasaki Bajaj and so on.

#### **4.**

#### **IMPORTANCE OF TECHNOLOGY TRANSFER**

**1) Promotes Technological Use:** Transfer of technology paves the way through which researchers and developers can adopt and exploit latest technology. It opens more avenues for the development of new trade and products for the use of public at large. Many collaborative endeavours are carried by numerous university and industrial research scholars for the enhancement of the knowledge and technology.

**2) Develops Competitive Edge:** Various organisations want to create or transfer a new technology as it gives them a competitive edge over their competitors. Firms dealing in areas where there is tough competition based on prices often try to reduce their cost of production by adopting new technology for acquiring raw materials or other assets.

**3) Encourages Research and Development:** Transfer of technology helps in giving valuable insights to researchers, thereby helping them in producing and acquiring enticing gains.

**4) Enhances Capability and Innovation:** Small and medium scale industries can either build the technology internally or can obtain it from external sources through transfer of technology. Developing technology can be a costly and unsafe affair on account of various problems associated with the process of innovation.

**5) Helps Researchers:** The values and significance of research programme is reflected through transfer of technology. It helps in getting associated with the researchers, obtaining funds and collaborating ideas in a protected environment. It also enhances the vision of researchers and helps them to produce and procure more gains.

#### **5.**

#### **ISSUES ARISING OUT OF TECHNOLOGY TRANSFERS**

**1) Costs:** Developing nations often try to import foreign technology at an unjustifiable soaring cost. There are many similar cases which involve very high expenses on technology imports, total outflow of funds because of dividends, royalties, interest and technological expenses, as compared with the associated inflow.

**2) Appropriateness:** While transferring a technology, it is quite essential to evaluate whether the technology would be appropriate for the socio-economic and physical conditions of the developing nation. In many instances, it is observed that the imported technology was inappropriate or unsuitable for the social and economic conditions/preferences of the receiving developing nations.

**3) Dependence:** Depending too much on the foreign technology clearly indicates that it could lead to permanent dependence on that technology. It has been found that the contemporary refined technology often leads to the displacement of native traditional technology which was enhanced under different guidelines.

**4) Obsolescence:** Many times, it is observed that only obsolete technologies are transferred to the developing nations. In this way, the developing nations fail to enjoy benefits of latest technologies and as a result their technology is even now, left far behind.

#### **XIV.**

#### **GLOBAL COMPETITIVENESS**

The rise of globalisation in international business has led to intense competition because of which high technology sector had become a major part of foreign trade. Industries producing commercial aircraft and engines, industrial robots and semi-conductor computer chips compete in terms of market share and profits to sustain in the international market.

Technological environment and innovations are the major attributes of the competitive environment that exists in the international business. The worldwide flow of information and technological changes has redesigned the ways and means of conducting a business. This has often impacted the competitive strategies of companies and nations. However, it has led to a conflict. The technological competition has forced the companies to adopt global strategies, leaving behind the feeling of security and protectionism for the national technology from the international competition.

The nations which are unable to perceive and understand the role of governments in promoting the economic growth are preventing the economy and company both from attaining the international mind-set which is necessary to grow in the techno-global environment.

The government does this by imposing tariffs, quotation and other forms of tax discrimination which protects the domestic industries from international players. This leads to a situation where all the resources are transferred under the government control and market no longer distributes any resources, as a result creating a constitutional democracy.

A country's contribution in form of assets which can be inherited (e.g., natural resources) or created (e.g., infrastructure) and the processes (e.g., manufacturing) which are converted into economic outcomes and meet the requirements of the international markets is defined as 'Global Competitiveness'. In simple words, competitiveness of a nation is indicated when it can produce goods and services under free and fair market conditions which meet the demands of international markets and at the same time increasing the income level of its citizens. At the national level, competitiveness also depends on the productivity performance and ability of the economy to achieve high productivity levels which can as a result provide high wage rates.

#### **1.**

#### **NEED FOR GLOBAL COMPETITIVENESS**

**1). Evaluate the Capability of Countries:** The ability of a country to facilitate higher levels of prosperity to its citizen is analysed by the global competitiveness. This directly depends upon the effective utilisation of the resources available in any country. Thus, the combinations of policies, institutions, and different elements are analysed in the Global Competitiveness Index as these elements determine the levels of economic prosperity at present as well as for the medium-term.

**2) Renew and Regenerate:** The countries are required to have the effective policies at the right positions so that they can become the attractive destinations for doing business similar to the different organisations which renew and redevelop their policies so that they can be competitive in the market. There is a very tough competition among different countries due to the prevailing trend of globalisation of economies.

**3) Provide New Viewpoint and Information on Competitiveness:** A lot of new information is presented in recent times regarding the success stories of many countries and regional blocks. Those countries would become more competitive which give significant importance to deregulation, risk-taking abilities, individual initiatives, and privatisation instead of those which are more reliable on social consensus, government regulations, and follow an egalitarian approach to responsibilities and an extensive welfare system.

**4) Facing International Competition:** As the greater challenges which are presented by the international competition are addressed by the organisations and manpower, there has been a rethinking to the approach to human resource management, production and innovation, etc. Such process of rethinking stimulates them to accept the new thinking and approaches belonging to different parts of the world. The most prevalent example of this pattern is the increasing importance to quality.

**5) Re-examination of Products, Customers, Markets, and Rivals:** The different types of challenges which are imposed in front of Indian economy are considered as competitiveness by many individuals. Indian business organisations are forced to implement new ways of doing business in order to tackle the increased global competition. Thus, there is a requirement of re-examining the products, customers, markets and competitors. It has resulted in the search of new concepts and management philosophies which are popular in other parts of the globe and executing them in India. These are the main driving forces behind the implementation of concepts like accelerated cycle-time, re-thinking the innovation process, streamlined production, quality improvement, etc

## **2. INDICATORS OF COMPETITIVENESS/12 PILLARS OF GLOBAL COMPETITIVENESS**

The competitiveness is determined by various factors which are not simple to understand. Economists have tried for centuries to unearth the factors determining the wealth of a country. Adam Smith has focussed on division of labour and specialisation to understand it; neo-classical economists studied relationship between investment and infrastructure to understand it; and several factors like education and skill training, level of technology (native or adopted), macroeconomic stability, administration, rules and regulations, working of institutions, firm's internal environment, market demand and size, etc., are studied today to understand the competitiveness.

All of these factors are based on theoretical background and are quite sensible. However, the core of this analysis is that these factors are mutually related and studies have shown that any two or more than two can be simultaneously true. For this reason, despite facing economic crisis on global fronts, not much variation in the level of competitiveness is observed in countries like USA. Economic condition is only one of the various elements of a country's competitiveness.

**1. Institutions:** The institutional framework of an economy defines the structure within which various entities like individuals, companies and governments interact to create wealth and income for the economy. The competitiveness and growth of the economy largely depends on the institutional framework. It plays a crucial role in deciding the distribution of benefits and developmental costs of strategies and policies. Along with this it also influences the investment and production decisions.

**2. Infrastructure:** Adequate and effective infrastructure is a very important pillar of competitiveness. The existence of infrastructure is very crucial for proper functioning of the economy. It is a key factor for identifying the location of economic activity and other sectors which can be developed in an economy. A proper infrastructure reduces the distance between far-reaching areas which helps in integrating the national market with markets in other countries. It also helps to improve the economic growth and reduces poverty and income inequalities.

**3. Macroeconomic Stability:** For national competitiveness and business activities, it is very essential to have stable macroeconomic environment. While it is definitely true that macroeconomic stability does

not guarantee the growth of the economy but the absence of it definitely impacts the growth. If the inflation is very high or the exchange rate is not favourable then the investment decisions of the companies are adversely impacted. The government cannot provide services efficiently if it has to make high-interest payments on its past debts. Therefore, the economy will suffer if the macroeconomic environment is unstable.

**4. Health and Primary Education:** For an economy to be highly productive and competitive, it is vital to have a healthy and vibrant work force. If workers are sick and are unable to work properly, then their productivity will be less. This will significantly impact the business because workers with ill health will be either absent or perform at lower levels of efficiency. Hence, it is necessary to have health service provisions under economic and moral concerns.

**5. Higher Education and Training:** If an economy wants to improve its production processes and products and move up its value chain, then it is very essential to invest in higher education and training. In the current scenario, the economy needs to train pools of well-educated workers, who have the ability to adjust with the changes rapidly. This pillar helps the business community to evaluate the enrolment rates of secondary and tertiary education and also the quality of education. Education requires a change in the mind-set so that the workers' skills can be continuously upgraded with the changing needs of the developing economy.

**6. Goods Market Efficiency:** Nations having a well-organised goods market need to produce the right products and services mix in accordance with the prevailing demand and supply conditions and also make sure that these goods are traded effectively in the country. For this purpose, there should be a healthy competition at domestic and international level. This acts as a driving force for increasing the business productivity and market efficiency. In order to maintain a better business environment, government interference should be minimum so as to avoid obstacles in business.

**7. Labour Market Efficiency:** The economy will be highly productive only if it makes optimum utilisation of its workers and ensures that the workers are allocated in the best possible manner. Therefore, labour has to be efficient and flexible for attaining maximum productivity. The labour markets must be flexible enough to rotate workers from one economic activity to another at low cost and allow wage fluctuations without causing any social unrest. The effective labour markets should also ensure that workers are paid and incentivised based on their efforts and talents without discriminating between men and women.

**8. Financial Market Sophistication:** The importance of financial market in national economies has been highlighted by the present global financial crisis situation. A well-organised financial sector ensures that the resources saved by a nation's citizens and the resources which are invested in the economy from abroad are channelized in the most productive areas. It also guarantees that all the resources are applied to investment or entrepreneurial projects which offer high rates of return. For this purpose, an in-depth analysis of risk is very important.

**9. Technological Readiness:** This pillar assesses the proficiency of the economy to adopt and implement new technologies and improve industrial productivity. In today's competitive world, technology has become a very important source of competitive advantage. ICT (Information Communication and Technology) is increasingly emerging as the general purpose technology and also the backbone for commercial transactions in the economy. The access and usage of ICT is considered as a vital element of economies overall level of technological readiness, which is included as the pillar of global competitiveness.

**10. Market Size:** The market size of the economy is also a very important pillar. It influences productivity as large markets allow firms to exploit economies of scale. Historically, firms were restricted to the markets existing in the national boundaries. However, post globalisation foreign markets are now considered as a substitute for domestic markets. It has been seen that the system of free and open

trade has led to the growth in economies, particularly in the case of small economies. The growth of the South Asian Economies like Philippines can be cited as an example in this regard. The exports can be viewed as a substitute for the domestic market of an economy.

**11. Business Sophistication:** It is a crucial pillar for attaining higher production of goods and services. This results in increasing nation's competitiveness and overall productivity. The quality of country's business networks and firms operations and strategies, are all concerned with business sophistication. This becomes specifically significant for advanced economies, when the basic available resources are fully utilised.

**12. Innovation:** Innovation is the last pillar of global competitiveness. The factors which can earn considerable profits like institutional framework, macroeconomic stability, human capital and infrastructure are eventually subject to diminishing returns. Similarly, this trend is also observed in the financial, labour and goods market in terms of their efficiency. Standards of living can only be augmented by the technological innovation pervading in the economy in the long run. Innovation is a very important factor when the economy becomes reasonably advanced in its technological developments and future improvements can only be brought about by innovation.

### 3.

### INDIA'S COMPETITIVENESS IN THE WORLD ECONOMY

According to Global Competitiveness Index (GCI) which was released as part of the World Economic Forum's (WEF) Global Competitiveness Report for 2016-17, the rank of India was 39th among 138 countries worldwide.

In comparison to its 55th position in 2015-16 GCI, there was a huge improvement in the position of India in 2016-17 edition of GCI. Because of various developments and improvements in business sophistication, innovation and goods market efficiency, India has come up as one of the highest rising economy in the world. Due to noticeable improvements in infrastructure and institutions accompanied by many reforms for example improved transparency in the financial system, allowing foreign investment, competitiveness of India has improved significantly.

India (40th) stabilizes this year after its big leap forward of the previous two years. The score improves across most pillars of competitiveness, particularly infrastructure (66th, up two), higher education and training (75th, up six), and technological readiness (107th, up three), reflecting recent public investments in these areas.

Performance also improves in ICT indicators, particularly Internet bandwidth per user, mobile phone and broadband subscriptions, and Internet access in schools. The quality of institutions has increased further, especially in terms of efficiency of public spending (20th), but the private sector still considers corruption to be the most problematic factor for doing business in India.

There was a twofold increment in the GDP per capita in terms of PPP between 2007 and 2016 which rose from U.S. \$3,587 to U.S. \$6,599. However, there was some decline in the GDP due to financial crisis and it declined to the lowest point in 2012-13. This situation forced the decision makers of India to rethink about their policies and reforms so that different steps can be taken to improve the competitiveness of the country. In 2014, GDP improved and suppressed the growth of China which made India the fastest growing economy in the world for that year.

There is a wide and multidimensional improvement in the competitiveness of India especially in business sophistication, innovation and goods market efficiency. Because of improved fiscal policies, lower oil prices, improved monetary policies, the growth rate of India was highest among all the countries in G20. There are some recent improvements in the various sectors due to different reforms and because of this the improvements are shown in opening the economy to foreign investors and international trade (up 4).

increasing transparency in the financial system (up 15) and improving public institutions (up 16). But, these measures are still not enough.

There are mainly two segments in labour market, one is the group of labour market which is protected under strict rules and regulations and the other is the wage determination by the government particularly in the areas of the manufacturing sector and it has a huge population of workforce in unprotected and informal sector.

#### **4.**

#### **TECHNOLOGY OF GLOBAL COMPETITIVENESS**

In global competition technology is an important element for companies. Developing and managing technology lead to achieve and maintain competitiveness and improve economic performance and growth Meeting today's changing market needs is only possible by forming compatible strategies on the axis of technology and effective technology management. Today the most effective variable that creates difference is technology It is not only enough to have the technology alone, but also it is important to manage it as a process.

In order to use technology as an element of competition and development, companies look for ways to have the knowledge and to use the decision-making mechanisms more effective. Especially the intense competition and high quality expectations of globalization have led organizational leaders to focus on the development of product and process technologies. So that firms and institutions are being reshaped in order not to lag behind the change in technology. To stand against global competition, it is crucial to be ready to changing market needs and to plan technology development activities depending on these changes.

Technology comes forward when it comes to produce the products and services with fewer sources, at lower costs, in higher qualities and more beneficial. While struggling in today's competitive environment, technology will carry the companies further by giving the chance to create more economic value than their competitors. Therefore managing the technology is an important issue for companies in global competition. While the level of technology forms the competition power of companies, at the same time it shows the competition power of countries.

In this context, the acquisition, establishment and operation of technology and the R&D activities are gaining importance in the companies and these activities lead to technology management. Having technological improvements and technological innovations are the most powerful weapons ever. R & D activities and technology development investments are long-term profitable and qualified investments For the provision of technology; developing product and process improvements by internal R & D activities, transferring technology, using existing technology options must be emphasized. Both companies and countries need to form and apply the best strategy management in order to compete in international competition.

Therefore, how to manage technology has become an important issue in the past few decades, and the technology management community has developed a wide range of methodologies and applications for both academic research and practical applications. In addition, technology management has attracted much effort to explore its nature, concepts, frameworks, architectures, theories, systems, models, tools, functions, and real world implementations in order to demonstrate technology management methodologies and their applications.